10 STARTUP TERMS *Every*

Aspiring Founder Should Know

Save this for your startup journey

MVP

Minimum Viable Product

/em-vee-pee/

noun

A basic version of your product with just enough features to test your idea with real users

In Startup terms :

Build the simplest useful version first, Test it with users before adding more features

BOOTSTRAPPING

Building a Startup with Your Own Money

/boot-strap-ing/

noun

Building and growing a company using your own savings and early customer revenue, without external venture capital

In Startup terms :

Start with your own resources, earn from customers, and reinvest to grow

BURN RATE

How fast your startup spends its cash

/burn-rayt/
noun

The amount of cash a startup spends each month to run its business

In Startup terms :

If your startup spends ₹2 lakh every month, its monthly burn rate is ₹2 lakh

RUNWAY

How long your startup can keep running

/run-way/
noun

The number of months a startup can operate before its available cash runs out

In Startup terms :

₹12 lakh in cash ÷ ₹2 lakh monthly burn
= 6 months of runway

CAP TABLE

Who owns what in a startup

/kap-tay-bul/

noun

A record of who owns shares in a company and how much equity each person holds

In Startup terms :

If a founder owns 70% and a co-founder owns 30%, the cap table records both ownership stakes

SAFE

Simple Agreement for Future Equity

/sayf/
noun

An agreement that lets investors provide money to a startup in exchange for the possibility of receiving equity in the future

In Startup terms :

A startup gets investment now, while the investor may receive shares later under the agreement's terms

PMF

Product-Market Fit

/pee-em-ef/

noun

When a product solves a real problem for a specific market and people genuinely want to use it

In Startup terms :

People don't just try your product once. They keep coming back because it solves a real problem

PIVOT

Changing Direction to Grow

/piv-uht/
noun

A strategic change in a startup's product, business model, or target audience based on what the team learns

In Startup terms :

A startup builds a study app, but students aren't willing to pay. So, it changes its target customers and starts selling to schools instead
That's a pivot

CHURN RATE

The Rate at Which Customers Leave

/churn rayt/
noun

A measure of how many customers stop using a product or service over a given period

In Startup terms :

A startup has 100 customers. If 10 stop using it in a month, its monthly churn rate is 10%

VALUATION

What a Startup Is Worth

/val-yoo-ay-shuhn/
noun

The estimated value of a startup, based on factors like its growth potential, revenue, and market opportunity

In Startup terms :

If investors value a startup at ₹1 crore, they estimate the business is worth ₹1 crore

You now speak *startup*

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Share it with a friend who's building something big — or someone who needs to learn the startup basics.

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